

From Industries to Public Services: AI Innovation Challenge Bridges Tech and Real-World Impact

As industries across India integrate artificial intelligence (AI) into their core operations, Gujarat is making steady progress in enabling this shift across both public and private sectors. Known for its deep-rooted manufacturing and enterprise networks, the state is now investing in the right mechanisms to support applied AI adoption: institutional frameworks, industry partnerships, and an ecosystem designed for co-creation.

As part of this approach, the AI Centre of Excellence (AI CoE) was established by the Department of Science & Technology and Gujarat Informatics Limited, in support of Ministry of Electronics & IT (MeitY), and in collaboration with Nasscom and Microsoft. Inaugurated by Hon'ble Chief Minister Shri Bhupendra Patel with an aim to increase AI adoption in public & private sectors. He also launched the AI Innovation Challenge (AI-IC) as one of the flagship initiatives—designed to accelerate meaningful AI implementation by bringing together problem owners and deep-tech innovators.

A Structured Bridge Between Demand and Innovation

The AI Innovation Challenge serves as a unified platform empowering the enterprises and government departments to solve their challenges by collaborating with growth-stage AI and deep-tech startups. The model enables stakeholders to submit their problem statements, refine them with expert support, and co-create innovative solutions in collaboration with best suitable startups from the country.

In just a few months since its launch, AI-IC has gathered **over 25 problem statements** from Government departments & enterprises and received **85+ registrations** from qualified startups across India. For instance, departments such as Town Planning and Valuation; Forest & Environment, etc. along with enterprises like Teach Weaves International; Schneider Electric, etc. have submitted use-cases addressing a wide range of operational challenges. These include processes like Robotic Process Automation, Material Tracking and Wastage Management, AI-driven environmental monitoring and more, highlighting AI-IC's broad relevance across sectors and applications.

These early numbers reaffirm the core insight behind the initiative—while innovation and demand exist, they often remain disconnected. AI-IC bridges this gap, enabling faster AI adoption through structured engagement.

The AI-IC Impact

For government departments, the Challenge helps improve service efficiency, accelerate data-driven decision-making, and streamline processes. Each department receives support through every stage i.e. problem articulation, solution mapping, pilot execution, and implementation to ensure the solutions are both relevant and scalable.

For the private sector, the benefits are twofold. Large enterprises gain access to a vetted network of AI startups offering capabilities aligned with specific operational goals, reducing experimentation cycles and increasing return on innovation. For **MSMEs**, which often lack the resources to explore AI independently, the Challenge acts as a gateway providing validated solutions in areas such as manufacturing, quality control, logistics, and customer service, without heavy upfront investment.

The Challenge also provides an opportunity for deep-tech mature startups to work on applied, outcome-driven engagements. Startups selected for the program are guided through a multi-phase journey that includes shortlisting, technical evaluation, pilot implementation and are supported during full deployment, ensuring end-to-end integration of their solutions in real environments.

Eligible startups must meet the following criteria:

- Incorporated within the last 10 years
- Annual turnover not exceeding ₹25 crores
- Team size of up to 100 employees

Driving Use-cases Through Ecosystem Engagement

The AI Experience Zone at the CoE provides a hands-on environment where government officials and industry leaders can explore AI solutions, understand their potential in context, and identify opportunities for application within their own departments or businesses. These on-ground interactions often inspire articulation of new, real-world use cases.

Additionally, industry associations such as GCCI, ACMA, QCI, ATIRA, GSPMA and more serve as important amplifiers. Their collaboration enables the CoE to reach a wider network of enterprises, especially MSMEs, raising awareness and encouraging participation. These efforts not only drive solution adoption but also expand the scope and diversity of challenges submitted to the platform.

The AI Innovation Challenge is an important pillar in Gujarat's broader digital roadmap. By focusing on structured collaboration and outcome-focused innovation, it is creating the conditions necessary for scalable AI adoption. For government, it enables more responsive governance. For industry, it offers a competitive edge through smarter operations. For startups, it becomes a proving ground with direct access to implementation opportunities.

To participate, visit [AI Innovation Challenge](#) where qualified startups across India can apply and stakeholders can reach out to AI CoE to share their problem statements.

Photos:

